Considerable amount of information has been released in the public domain – most recently the Panama and Paradise Papers, with names and details of Indians with assets abroad. To date, there is no information of any conclusive action taken by the Indian tax authorities to assess whether these assets are black or white, or to bring the holders to book. Given that an effective international framework exists to trace and recover black money illegally held abroad, there is some scepticism about the NDA Government's commitment to tracing and curbing black money. Prime Minister Modi's 2014 election promise of bringing back Indian black money from abroad and crediting every Indian's account with ₹15 lakh remains a distant dream.

Instead of undertaking diligent and targeted forensic audits to trace black money followed up by swift prosecution, which would have deterred offenders, the government's demonetization exercise targeted India's entire cash economy. The patchwork of jumbled and confused notifications by the authorities between 8 November and 31 December 2016 showed a lack of basic understanding of the importance of cash in the Indian economy. The standing assumption seemed to be that all cash was black and that all holders of cash were essentially hoarders of black money.

More fundamentally, it showed that our political rulers were either in collusion with, or stumped by the innovativeness of the shrewd participants in the thriving black economy, who simply gamed the system, leaving the administration with a huge hole in the exchequer, and egg on its face.

So how much black money do we actually have in India?

Following up on the Finance Minister's statement to the Parliament that there were no official estimates of black money, the Economic Survey tabled by the CEA on 30 January 2018 adopted an unusual method of estimating India's black money: by assessing how dirty or clean rupee notes were!